

Calderwood Partners LLC

www.calderwoodpartners.com

March 22, 2020

Julie Gonzalez
Director of Operations
Stark-Wilson

Dear Ms. Gonzalez:

This letter sets down the terms on which our firm will advise Stark-Wilson on its channel strategy, and it becomes our agreement at the moment you countersign the enclosed copy and return it to me. I have written it at some length, and in plainer language than a contract of this kind usually runs to, because an engagement proceeds more surely when the firm and the client have read the same account of it before any work is done, and because the hour spent settling expectations at the outset is repaid many times over across the months that follow. I would ask you to read what follows against your own understanding of the assignment, and to tell me of any point on which the two diverge before you sign, so that we begin from a description we both recognize rather than from two that only resemble one another.

What We Have Agreed to Examine

The assignment is a review of the routes through which Stark-Wilson takes its products to market, and its object is a channel strategy the company can defend on the economics rather than on habit. We will begin by setting down how the current channels actually perform, tracing the volume, the margin, and the cost to serve through each of them, so that the picture we work from is the one your operators would recognize and not the one the reporting has settled into over the years. From that base we will develop and weigh options for the channel mix, describing for each the operational and financial consequences we can stand behind, including those a preferred option would ask the company to accept. We will set the trade-offs out plainly rather than present a single recommendation as though it carried no cost, and we will keep the analysis close enough to the people who run the channels that the strategy we hand over is one your own team can act on after we have gone.

It is worth being equally clear about the boundary of the work. This is a channel strategy grounded in the current economics, not a pricing study, a systems selection, or a program to carry any recommendation into effect; and while we will lay out what a chosen direction asks of the organization, its execution will remain

yours to lead unless we later agree, in writing, to a separate engagement covering that work. Should the scope of the assignment alter materially once we are underway, whether at your request or by what the analysis brings to light, we will describe the change and settle its terms with you before we act on it, so that nothing is added to the work without your assent.

Who Will Carry the Work

You will work with a small and constant team. Deborah Jimenez, our engagement manager, will hold the day-to-day conduct of the work and the cadence of our working sessions and reports, and she is the person to whom you should bring any question of pace or emphasis as the engagement proceeds. Joseph Reed will lead the quantitative side, the assembly and reconciliation of the channel economics on which every later recommendation will rest, and he will be answerable for seeing that the numbers we put in front of you tie and can withstand a hard question. I will keep the relationship at the level of the firm and remain accountable to you for what we deliver, so that the people whose names stand on our analysis are the people who have done it.

Our Fee and How We Will Bill It

Our fee for this engagement is a fixed \$71,000, which covers the work described above together with the ordinary meetings, correspondence, and interim materials that accompany it. It does not extend to work we might later agree to add, such as carrying a chosen channel strategy into operation, which we would scope and price separately before beginning. We will invoice against the fee at regular intervals as the work proceeds, and each invoice falls due within thirty days of its date.

Duration and Bringing the Engagement to an End

The engagement will commence on April 1, 2020 and is scoped to run for approximately five months, that being the period over which we have planned the analysis and the option work, though I will tell you early if the assignment proves to need more time or less. Either party may bring it to an end on reasonable written notice to the other. Should you choose to end it, you will owe the fee earned to the date of termination together with any costs properly incurred to that point, and nothing further; should we do so, which we would undertake only for a reason our professional standards require, we will refund any part of the fee that relates to work not yet performed and will help hand the assignment over in good order.

Confidential Information

We will treat the information you place in our hands, together with the fact and the substance of this engagement, as confidential, and we will use what you disclose to us solely for the work you have retained us to perform. We ask the same of Stark-Wilson in respect of the methods, analyses, and materials we bring to the assignment. These obligations will outlast the completion or termination of the engagement, and neither party will disclose the other's confidential information except where the law or a proper authority compels it, and then only so far as compelled and, where practicable, on notice to the other.

The Limits of Our Responsibility

We will perform this engagement with the care and skill our profession expects, and our advice will represent our considered judgment on the information available to us. We do not, however, warrant a particular commercial result, since the outcome of a change in channel strategy turns in large part on decisions and actions that rest with your organization rather than with ours. Our aggregate liability arising out of or in connection with this engagement will be limited to the amount of the fee actually paid to us under it, save where the law does not permit such a limit, and neither party will be liable to the other for indirect or consequential loss.

Governing Law and the Whole of Our Agreement

This letter constitutes the entire agreement between us in respect of this engagement and supersedes any prior discussion or understanding, and it may be varied only by a writing signed by both parties. It will be governed by, and construed in accordance with, the law of the state in which our firm maintains its principal office, and each of us submits to the jurisdiction of the courts of that state in respect of any dispute arising under it.

If the terms set out above reflect our understanding, I would ask you to sign and date the enclosed copy of this letter and return it to me, upon which we will confirm the commencement and begin the work. If any part of it warrants discussion first, tell me and I will make the time this week to talk it through before you sign.

Sincerely,

Julie Ramsey

Managing Principal

Date: March 22, 2020

Julie Gonzalez

Director of Operations, Stark-Wilson

Date: March 22, 2020